



HADP Unit Performance Case: Optimizing Subsidy Allocation & Unit-Level Impact

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Reallocating Future HADP Subsidy Toward High-Return Activities & Closing Data Gaps Unlocks Maximum Impact Without Escalating Costs

Evaluating 86,674 units reveals a ~21% data-unverified gap and 69%–99% sector variance—requiring a pivot from broad scale funding to activity-level subsidy efficiency.

Performance Definition & Framework

Dual-Gating Eligibility Filters:



Functional Status: Units must be “Unit Functional” (88.0% of the portfolio).



Output Completeness: Units must have valid Profit & Employment metrics in the Kisan Sathi Output Tracking App.

50/50 Composite Efficiency Index

Composite Score = $0.50 \times \text{Financial Efficiency Pctile} + 0.50 \times \text{Employment Efficiency Pctile}$

- **Financial Efficiency:** Profit (₹) / Sanctioned Subsidy (₹), percentile-ranked Activity ($n \geq 30$)
- **Employment Efficiency:** Annual Person-Days / Sanctioned Subsidy (₹), percentile-ranked within Activity ($n \geq 30$)
- **Metric Prioritisation Rationale:** Equal weighting balances HADP’s dual mandates (GSDP share & rural employment) without double-counting subsidy.

Portfolio Diagnostic & Pattern Analysis

High-Performers (15.6%): Generated high ROI on ₹587.7M (15.6%) subsidy.

Mid-Performers (31.3%): Absorbed ₹1.45B (38.5%) subsidy.

Low-Performers (15.6%): Consumed ₹1.22B (32.4%) subsidy with sub-par output.

- **Capital Misallocation:** Low-performers absorb 2x the subsidy share of High-performers (32.4% vs. 15.6%).
- **Sector Priorities:** Mechanization/Horticulture lead in Income ROI, whereas Sericulture/Livestock drive Job Creation ROI.

Subsidy Redesign & Quota Reallocation

Subsidy Redesign Recommendations

2-Tranche Performance-Linked Disbursement: Shift from 100% flat back-ended payout to a gated model:



1. **Tranche 1 (70%):** Disbursed upon physical setup & LMS training completion.
2. **Tranche 2 (30%):** Released at 6–12 months based on verified OTA app output metrics.

Dynamic Quota Reallocation: Shift future sanction quotas away from bottom-quartile activities toward top-performing composite sectors.

Thank You & Discussion

Unlocking J&K's Agri-GSDP Potential Through Data-Driven Subsidy Allocation & Enforced Field Governance

Core Discussion

1. **Policy & Disbursement Operationalization:**
 - Transitioning from flat back-ended payouts to the **70/30 two-tranche performance model** without creating capital constraints for smallholder beneficiaries.
2. **Kisan Sathi OTA App Governance:**
 - Implementing **60-day field officer SLAs** and digital validation workflows to clear the **17.1% unverified functional units** (₹512.4M subsidy).
3. **Targeted Unit-Level Interventions:**
 - Customizing LMS retraining for **13,556 low-performing units** and conducting diagnostic audits for **10,366 non-functional units**.
4. **Dynamic Sector & District Reallocation:**
 - Criteria for shifting future sanction quotas away from low-efficiency activities toward high-composite ROI sectors.